



Rates

US Rates Strategy Update

Date

9 December 2025

US Rates 2026 Outlook: Leaning Bearish

- We expect US rates to increase modestly in 2026 with 10y UST moving up to 4.45% by mid-year. This mildly bearish view is predicated on expectations of a more hawkish Fed rate path than market pricing – with nominal neutral around 3.5% and the outlook not calling for material easing through neutral – as well as modest further upside to term premia. The outlook leaves us with no strong baseline view on the curve given offsetting effects of a more hawkish Fed path and rising term premia.
- Key risks to the forecast relate to fiscal policy, oil prices, and AI, as well as economic policies that impact the net public-sector supply of duration and private-sector demand for USTs, including the Fed's balance sheet, Treasury debt management, and bank regulation.
- We expect the FOMC to begin reserve-management purchases in bills in Q1, as it aims for a steady-state UST portfolio that matches the universe outstanding. With MBS reinvestments, bill purchases will total ~ \$400bn. We expect a 5bp reduction in IORB vs. the target range, also in Q1.
- Treasury is poised to lean more heavily on T-bills with greater structural front-end demand from the Fed and potential stablecoin growth. We see nominal coupon auction sizes growing in November 2026, with increases concentrated in the front-end and belly.
- The tariff outlook will remain a key driver of front-end inflation compensation. A positive fiscal and monetary impulse and resilient growth could mean sticky inflation even as first-round tariff effects fade and rent inflation continues to soften. Longer-dated inflation measures screen cheap and we are bearish on real yields.
- In swap spreads, we are mildly bullish, expecting 5-10bps of widening with the long-end outperforming. We see support from ongoing deregulation, debt management policy, and calmer funding markets. Fiscal deterioration and elevated equity valuations pose downside risks.
- We see repo shifting to a more stable environment next year as the Fed focuses on maintaining ample reserves. We expect the fed funds and triparty repo rates to trade at or slightly above IORB and SOFR to print 5-7bps above fed funds during normal conditions.

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UST and SOFR Forecast

We start with our forecast for Treasury and SOFR rates through the end of 2026.

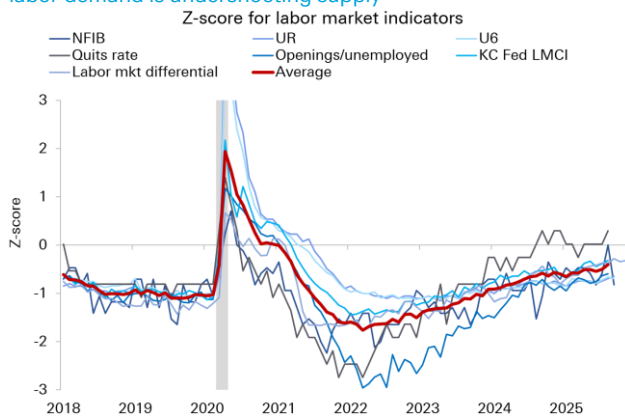
We are mildly bearish on duration, with a forecast of the 10y UST peaking at 4.45% and yields across the UST and SOFR curves projected to realize modestly above current forward pricing. The view is driven by our expectation that: (1) the equilibrium short-term real interest rate – i.e., *r*-star – has risen materially from its post-GFC lows; (2) the Fed would cut at most modestly below neutral as the labor market stabilizes and trend inflation remains above 2%; and (3) term premia are likely to increase modestly further.

- **Nominal neutral:** We put nominal neutral at 3.5%, broadly in-line with the average of the range of *r*-star measures we track, and materially above its post-GFC lows. Post-GFC, the decline in *r*-star was likely exacerbated by the three main contributors to the balance of supply and demand for savings: the private sector significantly reduced leverage; fiscal policy turned restrictive; and globalization supported an increase in global excess savings. As discussed in length in our [Global Rates Outlook](#), each of these factors is now reversing. Our estimate of neutral is moderately above both the median SEP projection (3.00%) and private-sector survey forecasts (e.g., the median in the NY Fed's SME is 3.13%).
- **Fed policy cycle:** In-line with our [US Economics team](#), we expect the FOMC to reduce the fed funds rate at its upcoming (December) meeting and then remain on hold until H2 2026, when a more dovish leaning Committee undertakes additional modest easing. In our rates forecast this takes the form of a 25bp cut below neutral in Q3, with the policy rate held at this level before returning to neutral in late 2027. A single 25bp cut is relatively unlikely as a modal outcome – if the Committee undertakes additional easing after an extended pause, it seems unlikely to deliver just one more cut – but seems reasonable as a mean-expectation forecast, e.g., a 50% probability of 50bps of cuts. We think the market is likely to continue to price cuts under the next chair even if the economy realizes more favorably in-line with our forecast.



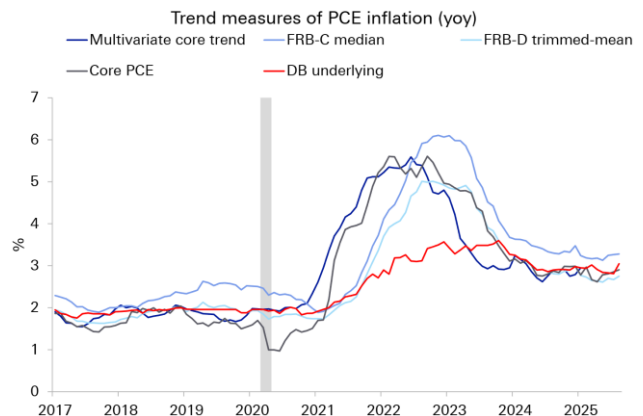
- **Term premia:** We expect term premia (TP) to increase modestly next year. TP remain low relative to fundamentals, most notably the net public-sector supply of duration, which we measure via G4 free float (the share of government bonds held by private price-sensitive investors). Key to our view is that the US budget deficit is likely to come in at 6.5-7% of nominal GDP in coming years, a significant historical outlier given our forecast that the unemployment rate would top out at 4.5%. Beyond supply, lingering inflation pressures should contribute to inflation uncertainty and continued unfavorable bond-equity correlations.
- **Swap spreads:** Connecting our 10y SOFR and 10y UST forecasts, we expect modest widening in swap spreads, discussed in detail below.

Figure 1: Measures of labor market slack have risen, suggesting labor demand is undershooting supply



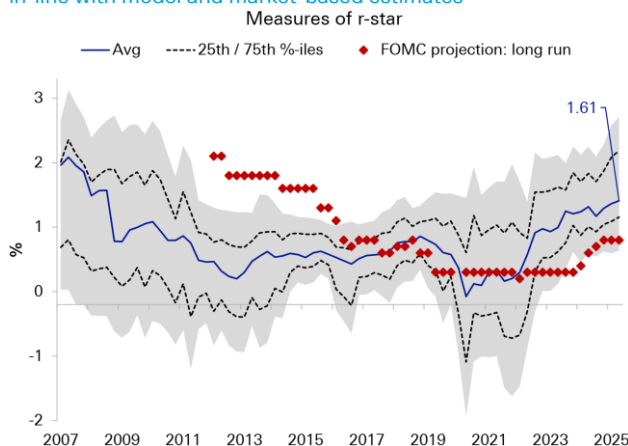
Source: Haver Analytics, Deutsche Bank Research

Figure 2: Trend inflation has been steady at 2.75-3.25%



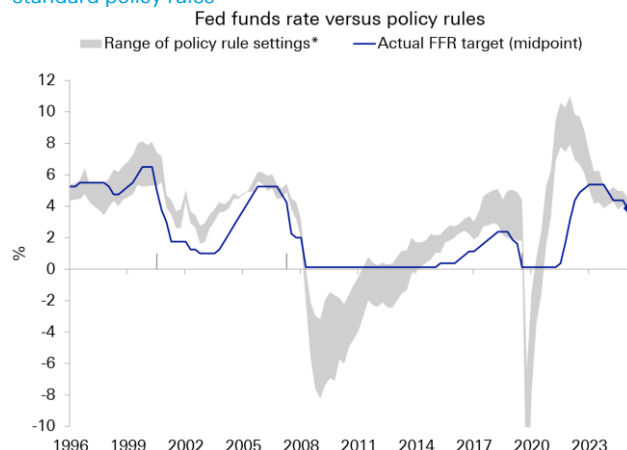
Source: Haver Analytics, Deutsche Bank Research

Figure 3: Our rates outlook assumes a neutral real rate of 1.5%, in-line with model and market-based estimates



Source: FRBNY, Haver Analytics, Bloomberg Finance LP, Deutsche Bank Research

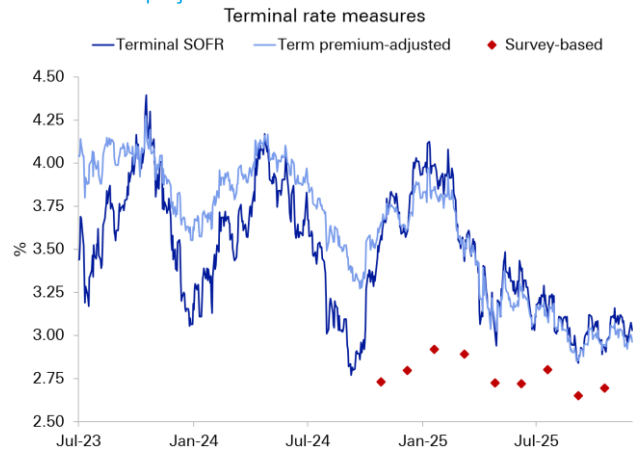
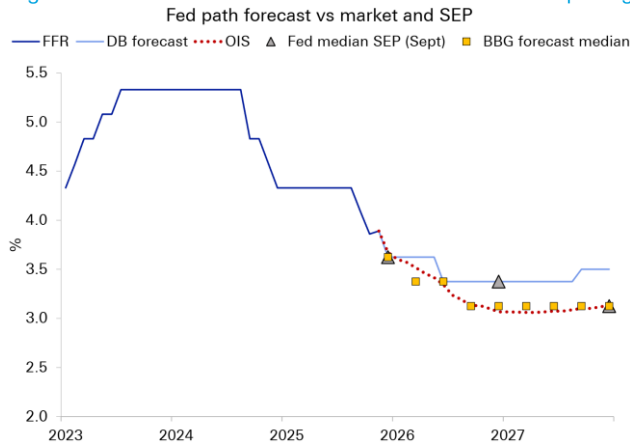
Figure 4: The Fed's policy rate is currently well-aligned with standard policy rules



Source: Bloomberg Finance LP, Deutsche Bank Research; *Policy rules are taken from the Fed's Monetary Policy Report

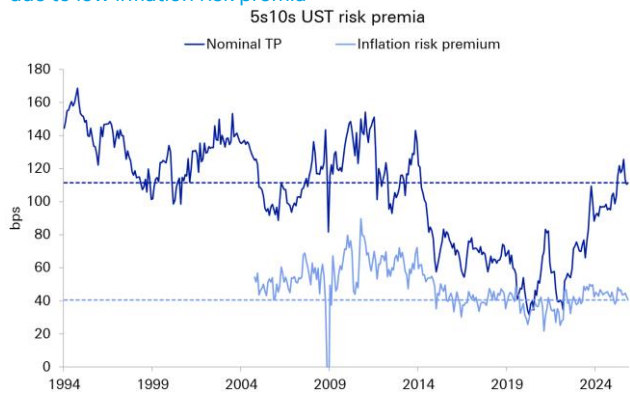


Figure 5: Our baseline Fed forecast is hawkish vs. market pricing and the Fed's SEP projections



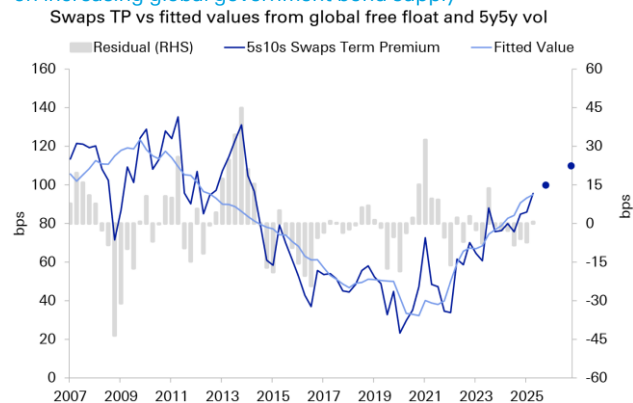
Source: Bloomberg Finance LP, Federal Reserve, Deutsche Bank Research

Figure 6: Term premia remain subdued by long-run standards, due to low inflation risk premia



Source: Bloomberg Finance LP, Deutsche Bank Research

Figure 7: Term premia are projected to rise over the coming year on increasing global government bond supply



Source: Bloomberg Finance LP, Deutsche Bank Research

Combining these elements, our outlook for duration next year is mildly bearish, with yields across the SOFR and UST curves projected to realize above forwards, and 10y SOFR and UST peaking at 4.10% and 4.45%, respectively. (Note: rates have risen towards our forecast since it was first published in our [Global Rates Outlook](#) in late November.) Our baseline forecast has the yield slope realizing close to forwards, with cross-currents from a more hawkish Fed policy path than the market is pricing (a flattener) and increases in term premia (a steepener).



Figure 8: UST/SOFR forecasts

SOFR: Baseline

	Current	Mar-26	Jun-26	Sep-26	Dec-26
2yr	3.38	3.30	3.35	3.50	3.50
5yr	3.45	3.45	3.55	3.70	3.70
10yr	3.76	3.75	3.90	4.10	4.10
30yr	4.10	4.00	4.05	4.25	4.25
2s10s	38	45	55	60	60
5s30s	65	55	50	55	55

UST: Baseline

	Current	Mar-26	Jun-26	Sep-26	Dec-26
2yr	3.58	3.50	3.55	3.65	3.65
5yr	3.75	3.75	3.85	3.95	3.95
10yr	4.17	4.15	4.30	4.45	4.45
30yr	4.81	4.70	4.75	4.85	4.85
2s10s	59	65	75	80	80
5s30s	106	95	90	90	90

Source: Bloomberg Finance LP, Deutsche Bank Research; * The 30y UST forecast is 10bps lower than published in the Global Rates Outlook, reflecting adjustment from an updated view of long-end swap spread widening.

Figure 9: Our rate forecasts are mildly bearish relative to forward pricing; with yield spreads broadly in-line

SOFR: Year-end 2026 Forecasts

	Current	Forward	Forecast	Fcst - fwd
2yr	3.38	3.29	3.50	21
5yr	3.45	3.52	3.70	18
10yr	3.76	3.86	4.10	24
30yr	4.10	4.12	4.25	13
2s10s	38	56	60	4
5s30s	65	61	55	-6

UST: Year-end 2026 Forecasts

	Current	Forward	Forecast	Fcst - fwd
2yr	3.58	3.57	3.65	8
5yr	3.75	3.85	3.95	10
10yr	4.17	4.28	4.45	17
30yr	4.81	4.81	4.85	4
2s10s	59	72	80	8
5s30s	106	95	90	-5

Source: Bloomberg Finance LP, Deutsche Bank Research

Figure 10: Decomposition of 10Y forecast vs. surveys and models

10Y UST Decomposition

10Y Component (bps)	Forecast	Current		
		ACM	KW	SME
Short Rate Expectations	350	348	364	313
Term Premium	95	61	45	105
10Y Yield	445	408	409	418

Source: Bloomberg Finance LP, Deutsche Bank Research; *10y UST yield is decomposed into short-rate expectations and term premium, showing our forecasted values for end-2026 alongside "current" estimates as of 11/28 from ACM and KW models and based on the October Survey of Market Expectations (SME).

There are three main fundamental risks to the baseline forecast: (i) global fiscal policy, (ii) oil prices, and (iii) AI.

First, the immediate risks around fiscal policy in the US are skewed towards larger deficits. Revenues from tariffs have so far lagged what would be implied by "headline tariffs," and tail risks from the forthcoming Supreme Court ruling on IEEPA are towards less tariff revenues. In addition, given the importance of cost-of-living issues, political pressure into the mid-term elections is likely to be towards more rather than less fiscal support. On the other hand, the global fiscal impulse could be materially more limited than we anticipate.

Second, our forecast implicitly assumes downside risks to oil prices could delay but not derail a rise in yields. There is a risk that supply increases drive a more persistent drop in oil prices than currently envisaged. As seen following the shale



oil positive supply shock in 2014, a significant decline in oil prices tends to have a material impact on inflation expectations, monetary policy, and term premia.

Third, the impact of AI creates significant two-sided risks to the forecast. To the upside in yields, sustained demand in capex and higher productivity would simultaneously absorb excess savings and raise potential growth. To the downside in yields, AI may have generated overinvestment, and a correction may weigh on growth and the labor market. AI may also benefit capital more than labor, thereby increasing aggregate savings. Finally, its disinflationary impact may exceed its positive impact on global growth.

A final important set of risks relates to the possibility that a range of government economic policies could be directed more aggressively towards lowering US rates. Political pressure on the Fed under new leadership could lead to more easing than warranted by fundamentals. However, excessive rate cuts should twist-steepen the curve, increasing long-term rates through higher inflation expectations and term premia. Fiscal dominance that extends to YCC or other use of the Fed's balance sheet could be deployed to suppress long-term yields but runs counter to Secretary Bessent's criticisms of Fed balance sheet policy. Beyond these more overt forms of easing, the administration could deploy policies that operate on the maturity structure of outstanding Treasury debt or bank demand for USTs. These policies are discussed in the next three sections.

Fed Balance Sheet & Policy Implementation

2026 will be a lively year for Fed balance sheet and implementation policy. With QT having ended, the Committee would reinvest MBS payments into Treasury bills via secondary-market purchases, at a pace of around \$15-20bn per month. Reserve-management purchases to grow the Fed's balance sheet in-line with currency and reserve demand are likely to begin early next year and be concentrated in bills, bringing overall Fed demand for bills to around \$400bn in 2026. In addition, the Committee will operate a steady-state ample reserves regime for the first time. We expect it to aim to keep the fed funds rate and TGCR on average close to IORB and the midpoint of the target range, and in support of this anticipate a 5bp reduction in IORB vs. the target range in Q1.

Long-run SOMA composition

The Committee is likely in coming months to decide on the target long-run composition of the Fed's securities holdings. Consistent with the FOMC's longstanding views and balance sheet runoff principles, we expect it to aim to hold a primarily-Treasury portfolio, though we do not expect any MBS sales next year. With respect to the maturity composition of its UST holdings, in-line with the discussion in the October meeting minutes, we think the Committee will aim to roughly match the composition of Treasury securities outstanding.

Reinvestments

The Fed would continue to roll over maturing Treasuries via non-competitive bids at auction, in amounts proportional to Treasury auction sizes. These securities do not touch the open market and impact measures of Treasury debt held by the public but not private holdings of duration. Reinvestment of MBS principal



payments will be done into Treasury bills via secondary-market purchases. We project these reinvestments to run around \$15-20bn per month.

Reserve-management purchases (RMPs)

While the overall size of the Fed's balance sheet is held constant, reserve balances will gradually fall as currency in circulation increases, and bank demand for reserves will grow with the economy and banking system. To accommodate these shifts and ensure reserves remain ample, the Fed will eventually need to purchase assets to grow the balance sheet. We expect these reserve-management purchases to begin in March, after the effective fed funds rate reaches IORB. Our expectation is that purchases, which would also be done in the secondary market, will average around \$20bn per month and be allocated entirely to T-bills. Purchasing bills helps to delineate RMPs from QE, since bill purchases have no material impact on privately-held duration, and facilitates the move in SOMA's composition towards the outstanding UST universe. The key countervailing consideration would be whether fully allocating RMPs to bills, by reducing the availability of short-term USTs to the private sector, adversely affects market functioning. We think the Committee is likely to judge that this is not a material risk, an assessment supported by the fact that RMPs in late 2019 were at a pace of \$60bn per month in T-bills with no discernible harm to market functioning.

IORB technical adjustment

We think the FOMC is likely to reduce IORB by 5bps relative to the target range early next year, with the goal of keeping the fed funds rate and TGCR near the midpoint of the target range. This technical adjustment would leave IORB 15bps below the top of the target range, which is where the Committee set IORB just prior to the repo pressures that emerged in September 2019.

Standing Repo Facility (SRF)

The Committee is likely to continue efforts to reduce stigma and other frictions to usage of the SRF. This could include running additional daily operations to make it more like a genuinely standing – i.e., always open – facility. Another straightforward step, and probably the most impactful, would be to lower the SRF rate to sit modestly below the top of the target range, helping to reframe SRF as a ceiling tool for implementation rather than a backstop. However, this likely does not have sufficient support across the Committee; indeed, Governor Bowman recently suggested *raising* the SRF rate above the top of the target range to emphasize its role as a backstop. Central clearing of the facility, which would enhance its efficacy, remains a possibility, though one the Fed has been exploring for several years now. The timing of this may ultimately align with implementation of the central clearing mandate for UST repo, in mid-2027.

Temporary open market operations (TOMOs)

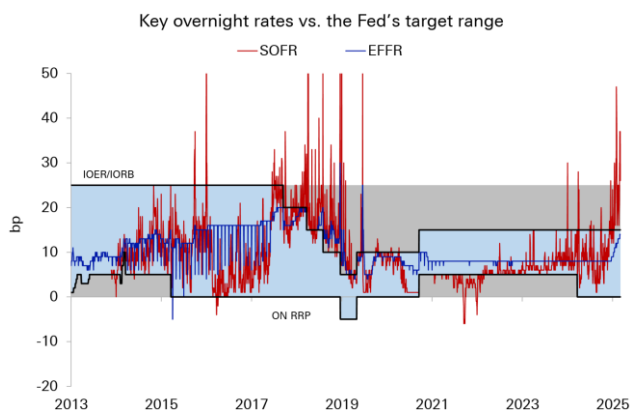
The Committee may elect to conduct discretionary repo operations to reduce repo market pressures around specific dates – month- and quarter-ends, Treasury auction settlement dates, or tax dates – that could spill over to affect fed funds. Ultimately, we think the Committee doesn't intend to do so but will be pragmatic and use these operations if judged necessary. It would aim to do so in a way that does not interfere with continued progress in bolstering SRF; using term rather than overnight discretionary repo could help in this.



Change to FOMC's target rate

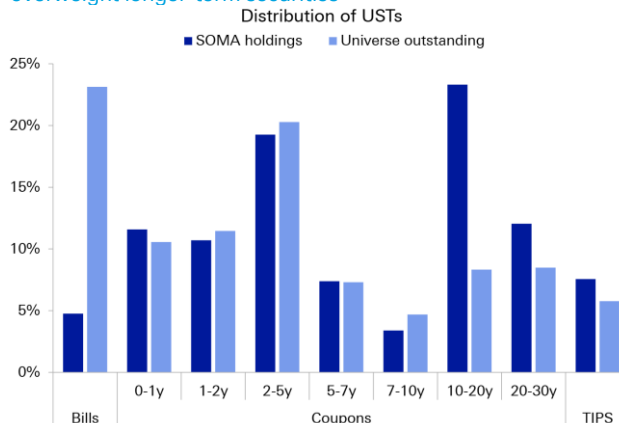
We see a strong case for the FOMC to switch its target rate from fed funds to the triparty repo rate (TGCR), though we don't expect this to take place by next year. With TGCR as the target, the Fed would have greater incentive to provide stability to repo markets, which should lower the risk of sharp leveraged position unwinds and improve overall Treasury market functioning. The SRF could be repositioned from a liquidity backstop to a ceiling tool / administered rate and lowered within the target range, per above. While fed funds would remain an important benchmark for the price of bank reserves, it's plausible that the rate could become more volatile, especially if IORB is made less prominent. For example, the Fed could potentially lower IORB to match the ON RRP rate. This would eliminate the arbitrage channel that currently helps support daily production of the fed funds rate but would become unnecessary after a switchover. In the new environment, fed funds volumes could be lower, but transactions would more accurately reflect domestic banks trading reserves among themselves.

Figure 11: Funding has tightened with reserves near ample



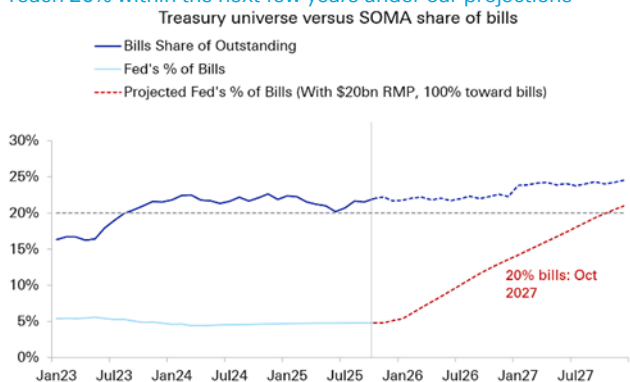
Source: Haver Analytics, Deutsche Bank Research

Figure 12: The Fed's UST portfolio is underweight bills and overweight longer-term securities



Source: Bloomberg Finance LP, Deutsche Bank Research

Figure 13: The share of T-bills in the Fed's UST Portfolio could reach 20% within the next few years under our projections



Source: Bloomberg Finance LP, Deutsche Bank Research

Figure 14: The Fed could eventually shift its target rate from fed funds, but we don't anticipate this in 2026



Source: Bloomberg Finance LP, Deutsche Bank Research



Figure 15: Fed balance sheet forecast

Date	Total Fed assets	Treasuries	MBS	Currency	TGA	ON RRP	Reserves	Foreign Repo	Fed Assets / GDP	Reserves + RRP / GDP
Oct-25	6,587	4,193	2,069	2,422	984	20	2828	348	21.4%	9.3%
Nov-25	6,563	4,188	2,052	2,429	900	2	2907	330	21.3%	9.4%
Dec-25	6,561	4,201	2,038	2,439	850	5	2950	330	21.2%	9.5%
Jan-26	6,558	4,212	2,027	2,430	850	5	2958	333	21.1%	9.5%
Feb-26	6,556	4,227	2,013	2,447	800	5	2991	336	21.0%	9.6%
Mar-26	6,574	4,261	1,998	2,456	850	5	2952	339	21.0%	9.4%
Apr-26	6,591	4,295	1,984	2,459	900	5	2919	342	21.0%	9.3%
May-26	6,609	4,330	1,970	2,468	850	5	2980	345	20.9%	9.5%
Jun-26	6,627	4,367	1,953	2,469	900	5	2948	348	20.9%	9.3%
Jul-26	6,644	4,404	1,935	2,472	900	5	2965	351	20.9%	9.3%
Aug-26	6,662	4,442	1,917	2,478	850	5	3029	354	20.9%	9.5%
Sep-26	6,680	4,481	1,899	2,481	900	5	2995	357	20.9%	9.4%
Oct-26	6,698	4,515	1,884	2,489	900	5	3007	360	20.8%	9.4%
Nov-26	6,715	4,550	1,870	2,501	850	5	3062	363	20.8%	9.5%
Dec-26	6,733	4,581	1,859	2,513	900	5	3018	366	20.8%	9.3%
Jan-27	6,751	4,612	1,848	2,504	900	5	3045	369	20.8%	9.4%
Feb-27	6,768	4,646	1,833	2,521	850	5	3095	372	20.9%	9.6%
Mar-27	6,786	4,681	1,819	2,530	900	5	3054	375	20.9%	9.4%
Apr-27	6,804	4,715	1,805	2,534	900	5	3068	378	21.0%	9.5%
May-27	6,821	4,750	1,790	2,543	850	5	3127	381	21.1%	9.7%
Jun-27	6,839	4,786	1,774	2,544	900	5	3092	384	21.1%	9.6%
Jul-27	6,857	4,824	1,756	2,547	950	5	3054	387	21.2%	9.4%
Aug-27	6,875	4,862	1,738	2,553	900	5	3113	390	21.2%	9.6%
Sep-27	6,892	4,900	1,719	2,557	950	5	3074	393	21.3%	9.5%
Oct-27	6,910	4,935	1,705	2,564	950	5	3081	396	21.3%	9.5%
Nov-27	6,928	4,969	1,691	2,577	900	5	3133	399	21.4%	9.7%
Dec-27	6,945	5,001	1,679	2,590	950	5	3085	402	21.4%	9.5%

Source: Haver Analytics, Deutsche Bank Research

Beyond these considerations, there is a possibility that some balance sheet/implementation decisions could be revisited under the next chair. Treasury Secretary Bessent has been critical of active use of Fed's balance sheet and has argued for "simplifying" its tools. Governors Bowman and Miran have argued that Fed balance sheet policy is downstream of bank regulations; any changes to liquidity regulations that reduce bank demand for reserves could allow for a smaller Fed balance sheet over time. By putting upward pressure on term premia this could create more scope for reductions in the fed fund rate to achieve a given level of financial conditions, leading to steeper curves, though this would also depend on the Treasury's debt management, which we turn to next.

Treasury Debt Management

Three issues are likely to dominate conversations around US fiscal and Treasury debt management in 2026. First, the uncertainties around tariffs, refunds, and the budget deficit. Second, the evolution of front-end demand and Treasury's bill issuance strategy. Third, the pace and distribution of eventual nominal coupon size increases, which we currently expect will be announced in November.

Tariffs

As mentioned in the forecast section above, our base case is for lower tariff revenues and higher deficits in the 6.5-7% of nominal GDP range. Prediction markets currently assign roughly 75% odds to the Supreme Court striking down tariffs imposed under the International Emergency Economic Powers Act



(IEEPA). A decision should come in early 2026, although a delay into mid-year would increase uncertainty over the fiscal outlook and potential tariff refunds.

If IEEPA powers are invalidated, the Trump administration will likely explore alternative authorities (e.g., temporary use of Section 122, Section 232, or Section 301) to replace the lost tariff revenues. However, legal constraints and political sensitivity around cost-of-living issues heading into the midterm elections will create substantial hurdles. In addition to higher deficits, Treasury may be required to refund some of the previously collected IEEPA tariffs, further compounding its financing burden. We do not expect a universal refund and are skeptical of the idea of large stimulative measures such as tariff refund checks. That said, importers that have formally protested the tariffs and are part of the IEEPA litigation could be eligible for refunds. Given the uncertainty around size and timing, these refunds would likely be financed through increased T-bill issuance.

T-bill share

In August 2024, the Treasury Borrowing Advisory Committee (TBAC) adjusted its [recommendation](#) for T-bills to average around 20% of marketable debt over time with 15% as the lower bound. Several developments over the past year likely have strengthened structural demand for front-end Treasuries, which potentially supports the bill share running slightly higher than 20% for the foreseeable future.

- **Fed open market operations.** As discussed above, the Fed will begin reinvesting MBS payments into T-bills, potentially generating ~\$200bn of secondary-market bill purchases next year and beyond. Additionally, reserve-management purchases to grow the Fed balance sheet are likely to be conducted entirely in T-bills initially, which we estimate to be \$200bn in the first year but could scale up over time. In total, the Fed is creating ~\$400bn per year of incremental demand for T-bills.
- **Stablecoin demand.** The passage of the GENIUS Act this year opens the door to broader stablecoin adoption, with coin issuers required to hold T-bills and Treasury repo against their liabilities. If the market grows from \$300bn today to ~\$2 trillion by 2030 (a figure often cited by Secretary Bessent), front-end demand could increase by ~\$200bn per year, as shown in our [earlier work](#) on stablecoin-driven demand for Treasuries.
- **Front-end buybacks.** As Treasury conducts cash-management buybacks and a portion of liquidity-support buybacks in the front-end, there is the ongoing process of replacing illiquid short-dated coupons with more liquid T-bills. This process naturally pushes the bill share higher, even though the impact on Treasury WAM is negligible.

Coupon increases

Despite Treasury leaning into more bills, large financing gaps in FY2027 and FY2028 will eventually require increases to nominal coupon auction sizes to maintain a balanced debt issuance profile. A key focus for next year's quarterly refunding meetings will be the pace of those increases and how will they be distributed along the curve, once the timing question is settled. We expect the first set of these increases to be announced in November 2026, followed by several more quarters of incremental and gradual adjustments.

Our baseline view is that front-end and belly auctions will absorb most of these increases, while the 10y to 30y sector could see minimal or no growth. The



decision to increase auction sizes in the long-end could well depend on the levels of long-end yields and term premia when increases begin. If long-end yields fall meaningfully next year, Treasury may opt for small long-end auction increases to prevent long-end supply from declining too sharply through natural rolldown. The table below shows our forecast for coupon sizes in 2026-2027.

Figure 16: Treasury auction size and net T-bill issuance forecasts

(\$bn)	2Y	3Y	5Y	7Y	10Y	20Y	30Y	5Y TIPS	10Y TIPS	30Y TIPS	2Y FRN	Gross Offering	Privately-held Maturing	Net Private Coupons	Net bills	Coupons + Bills	Quarterly Financing
Jan-26	69	58	70	44	39	13	22		22		30	367	-332	35	117	152	710
Feb-26	69	58	70	44	42	16	25			10	28	362	-230	132	140	272	
Mar-26	69	58	70	44	39	13	22		20		28	363	-176	187	100	287	
Apr-26	69	58	70	44	39	13	22	27			30	372	-304	68	-40	28	482
May-26	69	58	70	44	42	16	25		20		30	374	-225	149	125	274	
Jun-26	69	58	70	44	39	13	22	25			30	370	-184	186	-5	181	
Jul-26	69	58	70	44	39	13	22		22		32	369	-305	64	125	189	654
Aug-26	69	58	70	44	42	16	25			9	30	363	-247	116	175	291	
Sep-26	69	58	70	44	39	13	22		20		30	365	-187	178	-5	173	
Oct-26	69	58	70	44	39	13	22	28			32	375	-323	52	125	177	666
Nov-26	70	59	71	45	43	17	26		20		32	383	-249	134	175	309	
Dec-26	71	60	72	45	40	14	23	26			32	383	-198	185	-5	180	
Jan-27	72	61	73	45	40	14	23		23		34	385	-342	43	112	155	734
Feb-27	73	62	74	46	44	17	27			11	34	388	-234	154	135	289	
Mar-27	74	63	75	46	41	14	24		21		34	392	-198	194	95	289	
Apr-27	75	64	76	46	41	14	24	29			36	405	-336	69	-45	24	484
May-27	76	65	77	47	44	17	27		21		36	410	-259	151	120	271	
Jun-27	77	66	78	47	41	14	24	27			36	410	-210	200	-10	190	
Jul-27	78	67	79	47	41	14	24		23		38	411	-343	68	120	188	686
Aug-27	78	67	79	47	44	17	27			10	36	405	-256	149	170	319	
Sep-27	78	67	79	47	41	14	24		21		36	407	-219	188	-10	178	
Oct-27	78	67	79	47	41	14	24	30			38	418	-290	128	120	248	703
Nov-27	79	68	80	48	45	18	28		21		36	423	-299	124	170	294	
Dec-27	80	69	81	48	42	15	25	28			36	424	-253	171	-10	161	

Source: Deutsche Bank Research

Treasury buybacks

We don't expect significant changes to the Treasury buyback program in 2026. In line with announcements made this year, we expect Treasury to proceed with expanding counterparty access in the first half, and resume growing the aggregate buyback program size in the second half.

- Treasury has begun notifying non-primary-dealer counterparties that are eligible for direct access to buyback operations, and transacting with them could take place as soon as 1H 2026. Broader participation should give Treasury a wider outlet for removing illiquid off-the-run securities and field more competitive offer submissions. Expanded buyback access could also reduce balance sheet pressures for primary dealers as they carry less inventory and thus could help during episodes of market stress.
- As the buyback program continues to mature, the size of each operation should grow to scale with the size of the Treasury market. In August, Treasury increased total buyback amount from \$240bn to \$300bn per year, consisting of \$38bn per quarter in liquidity support and \$150bn per year in cash-management operations. We anticipate the next increase will be announced in August 2026, with liquidity-support operations growing to \$45bn per quarter, and cash-management operations to \$200bn, bringing the total annual amount to \$380bn.

In sum, our expectations of Fed balance sheet and Treasury debt management lead us to see a meaningful increase in both demand and issuance at the front



end, with a more cautious approach by Treasury to managing the supply of longer-dated coupons, particularly in the back end.

Bank Regulations

Banking deregulation has been a key pillar of the Trump administration's economic agenda, and we expect continued progress on this front in 2026. Capital requirements have effectively already come down this year through an easing in standards of the CCAR annual stress test and guidance of a watered-down Basel III endgame proposal from the new Vice Chair for Supervision, Governor Bowman. Looking to next year, the Fed's recent proposal for more transparent stress tests should ease risk-sensitive capital requirements, while the highly anticipated SLR reduction arriving next year will bring down leverage-based requirements. We also expect adjustments to the GSIB surcharge later next year, which could be more impactful than SLR relief given that most of the largest banks currently hold capital in excess of SLR minimums. The surcharge feeds through to both stress tests and the newly proposed SLR requirements.

While the reductions in capital requirements will likely spur bank M&A activity, they may not stimulate credit provision as much as the Trump administration hopes, given banks already hold excess capital and want to lend more than existing loan demand. The full impact will depend on the economic outlook.

We see scope for growth in banks' securities books and UST buying, though this may be more tepid than some market participants expect due to banks' still-significant unrealized losses from Treasuries purchased during Covid. Banks are also prioritizing deposit margins over deposit growth, which presents another risk that bank UST demand may not materialize to the extent some expect. Our view on this would change if additional deregulation that reduces intraday liquidity requirements and thus required reserve balances (as suggested by Governor Miran) is implemented, as that could alter HQLA pricing dynamics in favor of Treasuries. While not the most impactful for bank demand for USTs, the recently approved SLR easing should help with dealer intermediation capacity as dealers are more able to expand balance sheets for low-risk UST and repo activities. As a result, we anticipate reduced intermediation stress and greater market liquidity next year, which should be supportive for funding markets and swap spreads.

Swap Spreads

We are moderately bullish on swap spreads in 2026 given a number of factors pointing to further modest widening across the spread complex. Potential tailwinds to wider spreads include:

- The Trump administration's additional efforts to lower Treasury yields through regulatory reforms.
- A more proactive approach by Treasury to deliver lower yields.
- A more stable funding environment as QT ends and the Fed resumes balance sheet growth.



Downside risks to spreads include:

- A wider deficit due to lower tariff revenues, or targeted fiscal stimulus heading into the midterms.
- A significant drawdown in equities leading to market volatility and reduced risk sentiment.
- Additionally, AI-driven corporate issuance that leads to substantial paying in swaps is a wildcard.

Our year-end forecast is for spreads to widen 5-10bps across maturities, with long-end spreads modestly outperforming.

Trump regulatory push

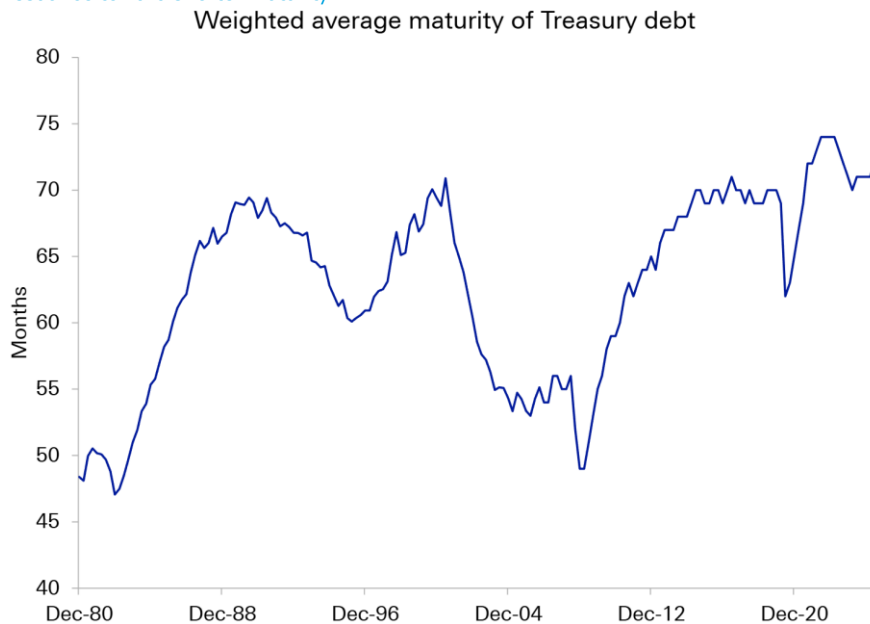
Post-GFC financial regulations have been a significant driver of negative swap spreads through increased cost of owning Treasuries. As mentioned above, we expect the administration to continue using deregulation as a tool to lower Treasury yields by making Treasuries either cheaper to own or more attractive to own. The joint Fed/OCC/FDIC final rule to modify the eSLR falls short of a permanent Treasuries carve-out but should still provide moderate capital relief and increase dealer capacity to intermediate Treasuries. Additionally, rolling back regulations on liquidity to allow the Fed to shrink its balance sheet more could push banks to hold more Treasuries as HQLA, further stimulating their demand.

Treasury debt management

While we expect Treasury to remain committed to a regular and predictable debt issuance approach, we also think it can employ a heavier hand than in the past to manage yields lower, which should support wider spreads. This is particularly true in the long end, where issuance sizes are substantially smaller, and modest surprises relative to expectations can have outsized market impact. For example, in November 2023 when Treasury faced rising term premia and announced that it would moderate the increases to 30-year auction sizes, the move helped catalyze a sustained rally in long-end rates via falling term premia and wider swap spreads. With the weighted average maturity (WAM) of outstanding debt close to a historical high, Treasury has room to be aggressive relative to market expectations to deliver market-friendly outcomes, such as pushing more of the eventual nominal coupon increases to the front end relative to expectations.



Figure 17: Treasury WAM near historical highs means some flexibility to adjust coupon issuance toward shorter maturity



Source: Treasury, Deutsche Bank Research

A more stable funding environment

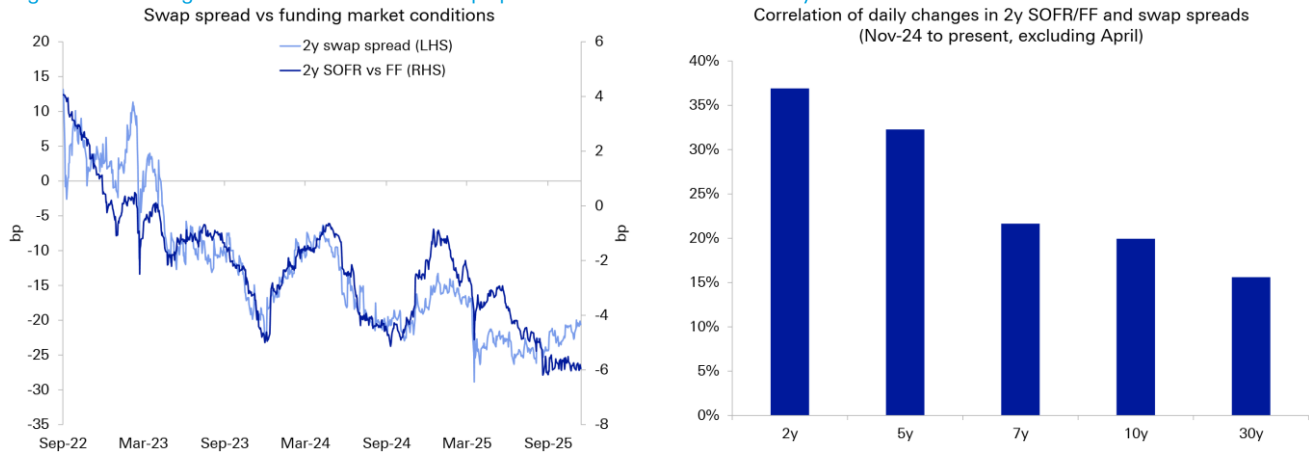
Repo rates, or more specifically the GC-SOFR spread, anchor the cash flows of a swap spread position and are thus a critical input to the valuation of spreads. With QT concluded, we expect the Fed's policy implementation to keep money market rates more stable in 2026, with reduced risk of future repo flareups and compression of the GC-SOFR spread supporting wider swap spreads.

We expect the combination of Fed reserve-management purchases and MBS reinvestments into T-bills to have meaningful easing effects on repo rates early next year. The Fed competing for T-bills through secondary-market purchases should drive more cash into repo markets. At the same time, reserve balances would be rebuilt or at least held steady.

Another key potential development is the central clearing of Standing Repo Facility operations, which has support from the FOMC for further study and could be made to align with the SEC's repo clearing mandate implementation in 2027. This would further expand dealer intermediation capacity in repo markets.



Figure 18: Funding market conditions drive swap spreads in the front end and belly



Source: Bloomberg Finance LP, Deutsche Bank Research

Tariffs and fiscal risks

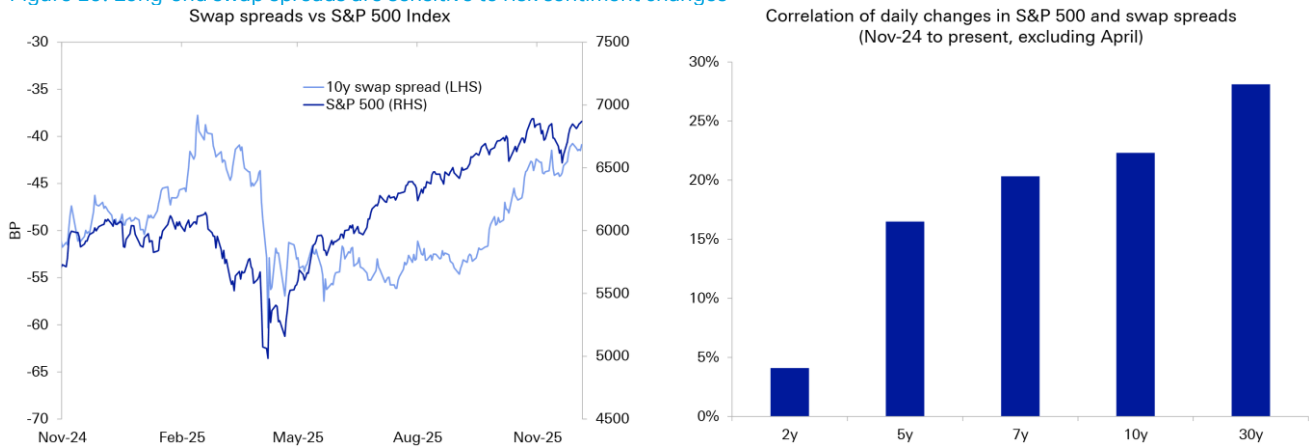
Our expectations of a widening of the budget deficit by roughly \$100bn relative to the earlier forecast – driven by softer tariff revenues – along with the risk of additional fiscal stimulus, remain a key risk for swap spreads.

On the other hand, less tariffs could also potentially be positive for swap spreads, if they help reverse the de-dollarization narrative that has been in focus since April and is a contributor to higher term premia and tighter swap spreads.

Equity valuations

Swap spreads, particularly in the long end, are sensitive to broader risk sentiment. The estimated correlation coefficient between daily changes in the S&P 500 index and 30y swap spreads is close to 50%. As such, elevated equity valuations present some downside risk, as sharp drawdowns or volatility spikes could trigger rapid unwinds of spread-widening positions (akin to the post-Liberation Day selloff).

Figure 19: Long-end swap spreads are sensitive to risk sentiment changes



Source: Bloomberg Finance LP, Deutsche Bank Research



AI-driven debt issuance

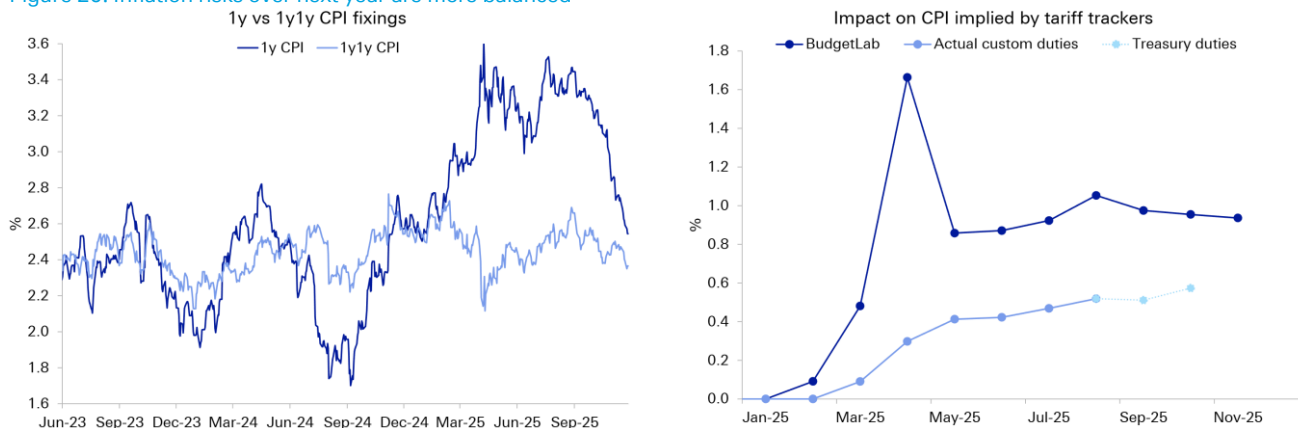
The credit market could see a surge in corporate issuance to fund AI-related capex next year. Our credit strategists expect \$100-125bn in hyperscaler names alone, issuing at an average maturity of 7-10 years but some as long as 30-year. Receiving flows in SOFR from issuers swapping their debt into floating could narrow spreads at those point on the curve. Increased corporate supply could also crowd out Treasury demand and cause Treasuries to cheapen, posing an additional headwind to spreads.

Inflation

News around the import tariff outlook is likely to continue to be a major driver of front-end inflation market valuations in 2026. Tariff expectations have recently been revised lower (see [here](#) for a detailed discussion). With the public's focus on affordability, further targeted relief looks possible (alongside the Supreme Court/IEEPA litigation). On the other hand, some [catch-up higher of actual tariff rates looks likely](#) as excess imports are worked off, while direct and indirect CPI effects from past hikes are unlikely to be complete (see our *bottom-up analysis* [here](#)); pipeline price pressures have been building, and risks remain tilted towards core CPI momentum remaining strong (m/m rates >3% annualised) for now.

Throughout 2026, a positive fiscal and monetary impulse and resilient economic growth could mean relatively sticky inflation even as first-round tariff effects fade, although rental inflation is expected to continue to soften. 1y CPI has fallen from ~3.2% to ~2.55% since October, and in our view now implies a decline in y/y core inflation over the next year. At current levels, we see risks as broadly balanced, though our baseline forecast has CPI marginally above market fixings in 2026.

Figure 20: Inflation risks over next year are more balanced



Source: Bloomberg Finance LP, Haver Analytics, The Budget Lab at Yale, Deutsche Bank Research

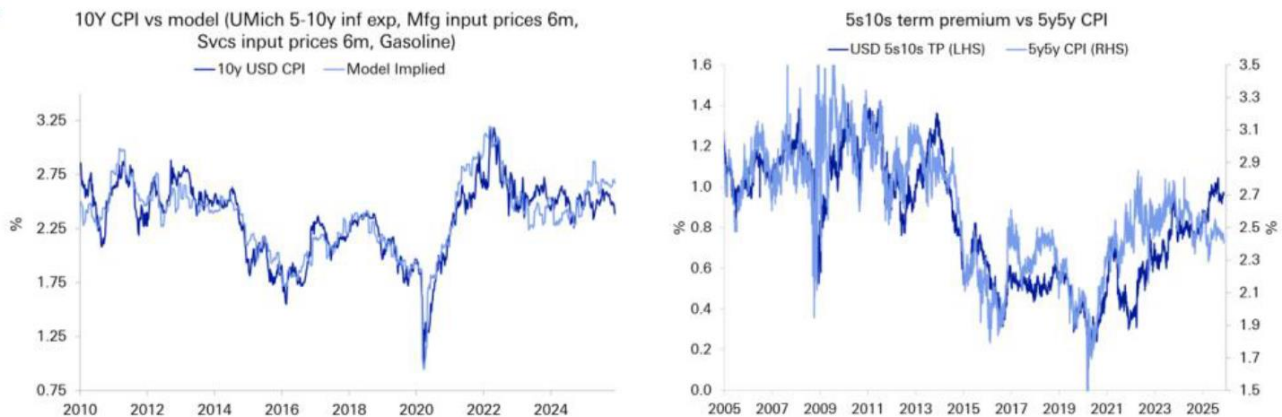
While front-end inflation has reacted strongly to macro news, forwards have remained relatively stable, with 1y1y for example mostly in a 2.4-2.6% range (outside of the post-Liberation Day sell-off). The combination of above-target inflation, resilient economic growth, a positive fiscal impulse, and expectations of



the Fed's policy rate below average estimates of neutral should provide support, and 5y, 10y, and 5y5y screen as cheap on valuation metrics. 10y looks low when benchmarked against commodity prices, inflation expectations and business surveys, while 5y5y looks low vs nominal term premia, EUR 5y5y and survey measures of inflation risks. We see the risks for 5y-10y to the upside, with weaker post-shutdown data and/or uncertainty about future data quality downside risks.

In real yields, a Supreme Court decision against IEEPA tariffs should be bearish for the front-end, given its negative implications for both inflation and fiscal revenues and potentially positive implications for the economy. Further out the curve, we lean bearish given our views on neutral as well as fiscal and growth prospects, though would see more upside for nominal yields given the relative attractiveness of inflation discussed above.

Figure 21: Long-term inflation appears cheap



Source: Deutsche Bank Research

Funding Markets

We see repo markets transitioning away from the recent turbulence into a more stable environment in 2026. With QT concluded and the Fed shifting its focus to maintaining an ample level of reserves, money market rates should also settle into a new regime, with the spread between benchmark rates reflecting changes in the Fed balance sheet as reserves have moved from abundant to ample.

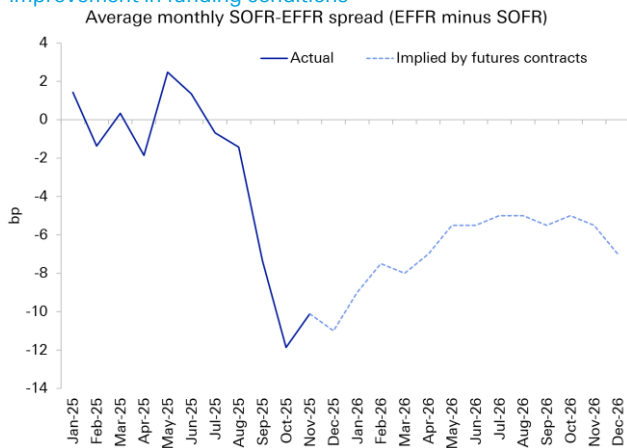
We expect fed funds to trade sustainably at a flat or a slight positive spread to IORB, and SOFR ~5bps above fed funds in normal market conditions (e.g. outside of bank reporting or large Treasury settlement dates). As discussed in the policy outlook section, we expect a technical adjustment to IORB early next year, bringing it 15bps below the top of the Fed's target range, while the SRF rate would remain at the top of the range. This configuration should leave fed funds anchored near the middle of the range while SOFR trades primarily in the upper half of the range. We see triparty repo rates (TGCR) trading only modestly above fed funds, which given the slight advantage of fed funds over triparty repo, leaves the Federal Home Loan Banks generally indifferent choosing between the two markets they lend cash into.



With reserve balances stabilizing and the Fed purchasing assets to maintain a reserves buffer, flareups in repo rates should be less frequent. However, pressure could still build around bank reporting dates such as month-ends and quarter-ends, though perhaps not to the same extent as recently due to improvements to dealer intermediation mentioned above. We anticipate the TGCR-EFFR spread will widen from ~2bps during normal days to ~10bps on month-ends, and the SOFR-EFFR spread will widen to ~20bps, though the widening of these spreads would be temporary and unlikely to pull the effective fed funds rate up.

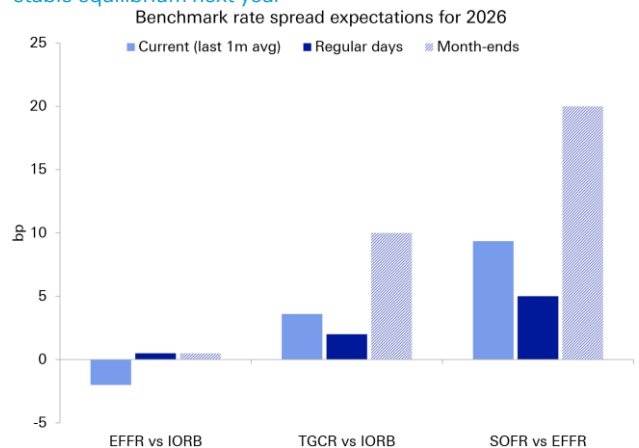
We anticipate progress with the Fed's Standing Repo Facility, with more borrowing from the facility on bank reporting dates helping to keep repo rates close to the SRF rate, though it won't be a firm ceiling for TGCR or SOFR. We would be encouraged by more substantial and frequent SRF usage, but excessive spikes could also signal problems with either the distribution or outright level of reserves. We expect the Fed to continue studying the possibility of centrally cleared SRF transactions, though implementation may not come until 2027.

Figure 22: SERFF futures pricing reflect expectations of improvement in funding conditions



Source: Bloomberg Finance LP, Deutsche Bank Research

Figure 23: Overnight benchmark rates should settle into a more stable equilibrium next year



Source: Deutsche Bank Research





Appendix 1

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The views expressed in this report accurately reflect the personal views of the undersigned lead analyst(s). In addition, the undersigned lead analyst(s) has not and will not receive any compensation for providing a specific recommendation or view in this report. Gabriele Cozzi, Andrew Fu, Markus Heider, Matthew Raskin, Steven Zeng, CFA.

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